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BUSINESS • EARNINGS

Home Depot Sales and Revenue Rise as Customers Spend More Per Transaction

Growth spurred by housing market boom supported by superlow mortgage rates

By Austen Hufford

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Home Depot Inc. HD **0.48%** ▲ on Tuesday posted continued sales growth in its third quarter, another indicator that the housing market continues to grow.

Shares, which have fallen 6.9% over the past three months, rose 1.6% to \$129.65 in premarket trading.

For 2016, the company now projects earnings per share of \$6.33, adding to its previous guidance by two cents. It continues to expect sales to increase 6.3%.

The Atlanta-based company has continued to report rising sales as the housing market grows and Americans become increasingly willing to spend on home-improvement projects. Superlow mortgage rates have kept higher prices within reach of many borrowers and prices have shot up in many U.S. housing markets over the past couple of years. But Donald Trump's victory has led to a surge in bond yields and, in turn, mortgage rates, potentially impacting housing prices. Mr. Trump has also made increasing infrastructure investments over the next decade one of his first priorities as president, potentially boosting companies like Home Depot.

During the most recent quarter, sales at Home Depot stores open at least a year grew 5.5%. Analysts were expecting 4.5% growth.

In all, Home Depot reported a profit of \$2 billion, or \$1.60 a share, up from \$1.73 billion, or \$1.35, a year prior. Revenue climbed 6.1% to \$23.15 billion.

Analysts polled by Thomson Reuters had projected earnings of \$1.58 a share on \$23.04 billion in sales.

At the quarter's end, Home Depot operated 2,276 retail stores in all 50 states, Canada and Mexico. The company's sales per square foot rose 4.3% as the amount the average customer spent rose 3%.

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Corrections & Amplifications:

Home Depot reported its third quarter Tuesday. An earlier version of this article incorrectly stated it reported its second quarter

Austen Hufford covered national economics for The Wall Street Journal in Washington.

He reported on the economy, supply chains and trade, labor policy, regulation and pathways to the middle class.

Before joining the D.C. bureau, Austen was based in Chicago as the Journal's U.S. manufacturing reporter, covering...

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